

different companies at every opportunity. When I was a young analyst in Boston right out of college, I had the occasion to visit some colleagues at Fidelity and met Mr. Lynch in his office. What I saw was astounding. Lynch maintained an archive of notebooks filled with information. His office was literally wall-to-wall research papers. He expected his subordinates to be equally thorough. When analysts made a recommendation, Lynch would require a written presentation outlining the details and the basis of each recommendation. Average investors should strive to reach this standard.

FINAL THOUGHT

Rationally, we know that returns on long-term investment results aren't impacted by the immediate-term beliefs, emotions, and impulses that often surround financial transactions. Instead, success or lack thereof is usually a result of uncontrollable factors like corporate performance and general economic conditions. During periods of market turmoil, though, it can be difficult to keep this in mind. One of the best ways to prevent your biases from affecting your decisions is to keep the rational side of your brain engaged as often as possible. Success in investing ultimately is found by investors who can conquer these daily psychological challenges and keep a long-term perspective in view at all times. Also, if you habitually use limit orders, keep track of your successes and failures. Don't worry so much about overpaying by a quarter or an eighth to buy a stock. If you maintain your position for the long term, paying an extra quarter or eighth of a point will not impact your return. On the flip side, stop limit orders can help to limit losses if a bad decision has been made.

NOTES

1. Ellen Langer, "The Illusion of Control," *Journal of Personality and Social Psychology* 32 (1975): 311–328.
2. Andrea Breinholt and Lynnette A. Dalrymple, "The Illusion of Control: What's Luck Got to Do with It?" *The Myriad: Westminster College Undergraduate Academic Journal* (Summer 2004).
3. Ibid.
4. Terrance Odean, "Do Investors Trade Too Much?" *American Economic Review*, 89(5) (1999): 1279–1298.
5. Gerlinde Fellner, "Illusion of Control as a Source of Poor Diversification: An Experimental Approach," published by Max Planck Institute for Research into Economic Systems in Jena, Germany, May 2004.
6. Ibid.